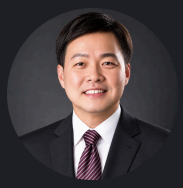
JASON CHOI
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FREE GUIDE

HOME BUYER'S GUIDE · 2026

# What Does It Really Cost to Buy a Home?

Purchase and closing costs for houses and condos in Alberta and British Columbia — updated for the 2026 rules, with a worked example on a $600,000 home.




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## 1. Three Kinds of Costs

When you buy a home, you pay more than the purchase price. Costs fall into three groups:

- **Up-front costs** — paid before or at closing: down payment, inspection, condo document review.
- **Closing costs** — paid on the closing date: legal fees, land title fees or transfer tax, title insurance and adjustments.
- **Ongoing costs** — after you move in: property tax, condo fees, insurance, utilities and repairs.

> **The big difference between Alberta and BC**
>
> **Alberta has no land transfer tax.** Buyers pay only Land Titles registration fees, which are small. **BC charges a Property Transfer Tax (PTT)** on almost every purchase, but first-time buyers and buyers of newly built homes may be exempt.

## 2. Down Payment and Mortgage Insurance

### Minimum down payment (2026)

| Purchase price | Minimum down payment |
|---|---|
| Up to $500,000 | 5% of the price |
| $500,000 to $1,499,999 | 5% of the first $500,000 + 10% of the rest |
| $1,500,000 or more | 20% (mortgage insurance not available) |
| Example: $600,000 | $25,000 + $10,000 = **$35,000** |

> Since December 15, 2024, the price limit for an insured mortgage is **$1.5 million** (it was $1 million). **First-time buyers** and buyers of **newly built homes** can choose a **30-year amortization** on an insured mortgage. Others are limited to 25 years.

### Mortgage default insurance (CMHC, Sagen or Canada Guaranty)

If your down payment is less than 20%, the mortgage must be insured. The premium is a percentage of the mortgage and is usually added to the mortgage balance. There is **no PST on the premium in Alberta or BC**.

| Down payment | Premium (% of mortgage) |
|---|---|
| 5% – 9.99% | 4.00% |
| 10% – 14.99% | 3.10% |

| | |
|---|---|
| 15% – 19.99% | 2.80% |
| 30-year amortization | add 0.20% |
| Example: $600,000 home, $35,000 down → $565,000 mortgage | 4.00% = **about $22,600** (25-year)<br>4.20% = about $23,730 (30-year) |

## 3. Closing Costs — Alberta vs. BC

Example: a **$600,000 resale home** with a $565,000 mortgage. All amounts are estimates. Your lawyer gives you the exact figures before closing.

| Cost | Alberta | British Columbia | Notes |
|---|---|---|---|
| Land transfer tax | **None** | PTT: 1% on the first $200,000, 2% from $200,000 to $2M, 3% from $2M to $3M (+2% more on homes over $3M) | BC example at $600,000: **$10,000** |
| Land title transfer fee | $50 + $5 per $5,000 of value → **about $650** | Small registration fees (usually in legal disbursements) | Alberta fees increased in October 2024 |
| Mortgage registration fee | $50 + $5 per $5,000 of mortgage → **about $640** | Small registration fee | |
| Lawyer / notary fee + disbursements | $1,000 – $2,000 | $1,200 – $2,500 | Varies by firm and complexity |
| Title insurance | $200 – $400 | $200 – $400 | Often arranged by your lawyer |
| Home inspection | $450 – $700 | $500 – $800 | Strongly recommended |
| Condo / strata document review | $300 – $600 | $300 – $600 | Condos only |
| Appraisal | $0 – $600 | $0 – $700 | Lender may require it or pay for it |
| Real Property Report (RPR) | Usually provided by the **seller** (houses) | Not used | Alberta standard contract |
| Property tax / condo fee adjustments | Varies | Varies | Pro-rated to the closing date |

| | | | |
|---|---|---|---|
| **Estimated closing costs** | **about $3,000 – $6,000** | **about $13,000 – $17,000** | Excludes down payment, mortgage insurance and moving |

> **BC first-time buyers save up to $8,000**
> With the first-time home buyers' exemption, a $600,000 home pays only **$2,000** in PTT instead of $10,000. See section 5.

## 4. Buying a Newly Built Home

| Item | What to know |
|---|---|
| GST | 5% GST applies to newly built homes in Alberta and BC. Resale homes have no GST. |
| First-Time Home Buyers' GST Rebate (new) | Became law in March 2026. Eligible first-time buyers get a **full GST rebate on new homes up to $1 million** (up to $50,000). The rebate phases out between $1 million and $1.5 million. Applies to purchase agreements with a builder signed from spring 2025 and before 2031. Confirm the exact start date and your eligibility with your builder and the CRA. |
| Regular GST New Housing Rebate | For buyers who are not first-time buyers: up to $6,300 on homes up to $350,000, phasing out by $450,000. |
| BC Newly Built Home PTT Exemption | Full PTT exemption on new homes up to **$1,100,000**, partial up to $1,150,000. You do not need to be a first-time buyer. Must be a Canadian citizen or permanent resident and live in the home. |
| Amortization | Newly built homes qualify for a 30-year insured amortization. |
| Deposits | Builders often require several deposits. Ask about deposit protection and the home warranty. |

## 5. First-Time Buyer Programs (2026)

### Federal (Alberta and BC)

| Program | Key details |
|---|---|
| First Home Savings Account (FHSA) | Save up to $8,000 a year ($40,000 lifetime). Contributions are tax-deductible and qualifying withdrawals are tax-free. No repayment. |
| Home Buyers' Plan (HBP) | Withdraw up to **$60,000** per person from your RRSP ($120,000 for a couple). Repay over 15 years. The repayment start date depends on the year of withdrawal. |

| | |
|---|---|
| First-Time Home Buyers' Tax Credit | A $10,000 credit worth up to **$1,500** on your tax return. |
| First-Time Home Buyers' GST Rebate | Up to $50,000 on a newly built home (see section 4). |
| 30-year amortization | Available to first-time buyers on insured mortgages. |

### British Columbia

| Program | Key details |
|---|---|
| PTT First-Time Home Buyers' Exemption | No PTT on the first $500,000 of value (saves up to **$8,000**) for homes up to **$835,000**, with a partial exemption up to $860,000. Must be a Canadian citizen or permanent resident, have lived in BC for 12 months (or filed 2 BC tax returns), and never have owned a principal residence anywhere. |
| Newly Built Home Exemption | See section 4. Cannot be combined with the first-time buyer exemption on the same purchase. |
| Foreign buyers | An additional 20% PTT applies in specified areas. Federal rules also restrict purchases by non-Canadians. Get legal advice. |
| Speculation and Vacancy Tax | May apply to homes left empty in designated areas. Principal residences are generally exempt. |

### Alberta

Alberta has **no land transfer tax**, so there is no provincial exemption to apply for. On a $600,000 home, an Alberta buyer typically saves about **$8,500** compared with a BC buyer who does not qualify for an exemption.

## 6. Condo and Strata Costs to Check

- **Monthly fees:** what is included (heat, water, insurance, parking) and how fees have changed.
- **Reserve fund:** Alberta requires a reserve fund study at least every 5 years. BC stratas with 5+ units must now get a depreciation report every 5 years and can no longer waive it. A low reserve can lead to a special assessment (levy).
- **Special assessments:** ask if any are approved, being discussed, or likely.
- **Insurance deductible:** if damage starts in your unit, you may have to pay the building deductible. Make sure your own condo insurance covers it.
- **Bylaws:** pets, rentals, short-term rentals (Airbnb), renovations and parking.
- **Move-in fees:** some buildings charge move-in or move-out fees.

> Ask for my free **Condo Buyer's Checklist** for a full list of documents and warning signs.

## 7. Ongoing Costs After You Move In

| Cost | Alberta (typical) | BC (typical) |
|---|---|---|
| Property tax (monthly) | $300 – $700 | $250 – $800 |
| Condo / strata fee (monthly) | $300 – $800+ | $350 – $1,000+ |
| Home insurance (monthly) | House $125 – $350 · Condo $40 – $120 | House $150 – $400 · Condo $50 – $150 |
| Utilities (monthly) | $200 – $400 (house) | $150 – $350 (house) |
| Repairs and maintenance | Set aside 1% – 2% of the home value each year (less for condos) | Same |

## 8. Your Cost Worksheet

| Item | My estimate ($) |
|---|---|
| Purchase price | |
| Down payment | |
| Mortgage insurance premium (added to mortgage) | |
| Land title fees (AB) or Property Transfer Tax (BC) | |
| GST (new home only) minus rebates | |
| Lawyer / notary fee and disbursements | |
| Title insurance | |
| Home inspection | |
| Condo document review | |
| Appraisal | |
| Property tax and condo fee adjustments | |
| Home insurance (first year) | |
| Moving costs | |
| Immediate repairs / furniture | |
| Contingency (1% – 2%) | |

| **Total cash needed** |
|---|

## 9. Timeline and Your Team

| Step | What happens |
|---|---|
| Pre-approval | Your lender or mortgage broker confirms how much you can borrow. |
| Offer accepted | You and the seller sign the purchase contract. |
| Conditions | Usually 5–10 business days for financing, inspection and condo documents. Remove conditions in writing. |
| Firm deal | The sale is binding. Your deposit is due on the date in the contract. |
| Lawyer / notary | Searches the title, prepares documents and receives your funds. |
| Closing / possession | Title transfers and you get the keys. In BC, completion and possession are often on different days. |

**Your team:** REALTOR® · mortgage broker or bank · real estate lawyer (Alberta) or lawyer/notary (BC) · home inspector · condo document reviewer · insurance broker.

**Planning to buy?**
I can prepare a personal cost estimate for the home you are considering and walk you through every step, in English or Korean. Call or text **(403) 399-8124**, email **CalgaryJason@gmail.com**, or visit **jasonchoirealestate.com**.

This guide is for general information only and is not legal, tax or financial advice. Figures are estimates based on rules in effect in 2026 and may change. Program eligibility has detailed conditions. Always confirm amounts with your lawyer or notary, lender and tax advisor before you buy. Prepared by Jason Choi, REALTOR®, First Place Realty. Information believed accurate but not guaranteed. Updated November 2026.